Tejani and another v Life Insurance Corporation of India

[1968] 1 EA 242 (HCU)

Division:	High Court of Uganda at Kampala
Date of judgment:	2 February 1968
Case Number:	424/1963 (23/68)
Before:	Sheridan J
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[1] Contract – Payment – Payment by cheque through post of premium on life policy – Observations as to effect of.

[2] Insurance – Life policy – Premium paid by cheque dated before but received after the insured's death – Whether insurance policy lapsed – Usage to accept payment of premium by cheque.

Editor's Summary

The plaintiffs were the administrators of the estate of the deceased, whose life was insured under an insurance policy with the defendant insurance company. The plaintiffs notified the defendant of the insured's death, which had occurred on January 31, 1963, by letter on February 7, 1963; but the defendant repudiated liability to pay the agreed bonus of Shs. 25,000/- on the ground that the premium of Shs. 1,275/- due on January 28, 1963, was not received by it until February 4, 1963. The plaintiffs claimed that the premium was paid by a cheque drawn by one of the plaintiffs on the Standard Bank in Kampala and posted to the defendant correctly addressed on January 21, 1963. The cheque was presented for payment by the defendant company on February 5, 1963. The defendant stated that the cheque was received by it on February 4, 1963. At the deceased's funeral on February 1, 1963, Mr. Gore, the defendant company's Masaka manager, stated that he had a conversation with the deceased's mother-in-law, in the course of which Mr. Gore was informed that due to an oversight a premium on the deceased's policy was not paid. The defendant company tendered repayment of the sum of Shs. 1,275/- paid to it on February 5, 1963.

Held –

(i) that, on the evidence, the cheque was posted after the deceased's death and was received on February 4, 1963; and

(ii) that the policy was not subsisting on January 31, 1963.

Observations –

(i) as a general rule, a debtor must seek out and pay his creditor; and an assured, if he chooses for

his own convenience to send money in any form through the post, does so at his own risk;
(ii) it was the defendant's sanctioned usage to receive payment by cheque;
(iii) there was no evidence that the defendants had made the post office their agent for acceptance of
premiums so that the deceased's debt would have been discharged by posting a letter containing a cheque duly addressed to the defendants.
Suit dismissed with costs.

Cases referred to in judgment:
(1) *Pennington v. Crossley & Son* (1897), 77 L.T. 43; 13 T.L.R. 513.
(2) *Tankexpress A/S v. Compagnie Financière Belge des Petroles S.A*., [1948] 2 All E.R. 939; [1949] A.C. 76.

Judgment
Sheridan J: By a plaint dated August 3, 1963 the plaintiffs, as executors and administrators of the will of Bandali Dharamshi Tejani (deceased), are claiming Shs. 25,000/- plus a bonus of Shs. 320/- under a

policy of life insurance No. 2600223 dated February 3, 1962 (Exhibit A) and made between the deceased and the defendants, who carry on business of life insurance in Uganda, in consideration of the premiums paid and to be paid by him to them upon the terms mentioned therein. On proof of the deceased's death the defendants agreed to pay Shs. 25,000/-, plus any bonus accrued, to the executors and administrators.

On January 31, 1963, the deceased died at Mulago Hospital, Kampala. The main controversy in the suit is whether the policy was still then in force.
The relevant allegations are set out in paras. 5 and 6 of the plaint as follows:
"(5) The plaintiff duly notified the defendants of the death of the said Bandali Dharamshi Tejani by letter dated February 7, 1963, but the defendants have repudiated liability on the ground that the premium of Shs. 1,275/- due on 28.1.1963 within thirty days of grace was not received until 4.2.1963.
(6) The said premium was paid by cheque No. 26099 drawn by Hyderali Dharamshi Ltd. on the Standard Bank in Kampala and posted to defendant correctly addressed on January 21, 1963. It is the normal custom of the defendant to receive payment by cheque and pursuant to such custom the first premium for Shs. 1,275/- was paid by cheque No. A41651 of 29.12.61 drawn by the deceased Bandali Dharamshi Tejani. The said cheque No. 26099 would in the normal course of post arrive at defendant's office in Kampala not later than January 23, 1963, and payment was therefore made upon the said January 23, 1963. The said cheque was received by defendant and

was presented for payment and paid on February 5, 1963, and the value thereof has not been repaid."

In their written statement of defence the defendants deny:

(1) that the policy was in force on January 31, 1963;

(2) that the cheque was posted on January 21. They contend that it was posted after the deceased's death;

(3) that it was their normal custom to receive payment of premium by cheque;

(4) that they ever sanctioned or authorized the deceased to pay the premium by cheque;

(5) that they ever expressly or impliedly sanctioned or authorized the deceased to remit the premium by post.

Finally, in paras. 11 and 12 they allege:

"11. The defendant states the said cheque No, 26099 for Shs. 1,275/- was received through post at its office in Kampala on February 4, 1963, after the said policy of insurance had lapsed without acquiring any value as the second yearly premium due on December 28, 1962, was not paid within the time stipulated in the said policy.

12. The defendant admits that the said cheque No. 26099 for Shs. 1,275/- was presented by it for payment on February 5, 1963, but that such payment was received without prejudice to the defendant's right under the said policy of insurance to treat the said policy of insurance as lapsed without acquiring any value. A true copy of the deposit memorandum acknowledging the receipt of the said payment is annexed hereto and marked 'DA'. In any event the defendant would contend that since the said insured died on January 31, 1963, payment towards premium after that day was of no effect. The

defendant is holding the said sum of Shs. 1,275/- in deposit for and on account of the estate of the said insured and is prepared and willing to release it to the said estate."

On April 2, 1964, when the suit came on for hearing the following issues were agreed:

(1) When was the cheque posted?

(2) When was it received?

(3) Was the policy subsisting on January 31, 1963?

(4) Is it the normal custom to receive payment by cheque?

(5) Did the defendants become liable on the plaintiffs posting the cheque as alleged?

As for various reasons the hearing of the suit has spread over nearly four years it is desirable to set out the evidence in some detail before evaluating it. Mr. Abdul Nanji Dhamani lives at Mukoko, near Masaka. He is an accountant for Wanoni Farmers Association, of which Hyderali Dharamshi, Ltd. are the managing agent. The deceased, who was his brother-in-law, was a director of that company.

On January 20, 1963, he visited the deceased in the Nile Nursing Home, Kampala. The deceased told him that a premium was due on a policy. The witness passed the news on to Mr. Hussein Walji, who is also a director of the company and the deceased's brother-in-law. As they did not know the amount of the premium Mr. Walji gave him the company's blank signed cheque (Exhibit B). Back at Mukoko Mr. Dhamani found the policy and filled in Shs. 1,275/-, the amount of the premium, on the cheque which he dated January 21. He wrote an accompanying letter (Exhibit C) to the defendants, posting both documents at the Bukulula Post Office, near Mukoko, under certificate of postage (Exhibit D) which he wrote out himself.

In cross-examination Mr. Dhamani stated that he and the deceased had lived at Mukoko for three to four years. They were family friends. He knows Mr. Balashanker Kalidas Gore, the defendants' Masaka manager, who used to visit the deceased. On February 1 he saw him at the deceased's funeral at Nabusanke, but he merely expressed his condolences and did not inquire if the premium had been paid. The witness did not say that they were busy and had forgotten it. The deceased had a personal bank account. Mr. Walji gave evidence that Mr. Bhagwanji Ganatra, the company's accountant, filled in the counterfoil of the cheque (Exhibit E), dated January 21, when Mr. Dhamani told him the amount two to three days later. Although he only uses one cheque book at a time, the previous and subsequent counterfoil entries are dated January 21 and April 4 respectively, which does suggest that the company's business was slack. Previous to that the entries are much more regular Mr. Ganatra confirmed Mr. Walji's evidence.

Mr. Desiderio Kagwa, a petrol seller for Jan Mohamed, also runs the postal agency. He signed Exhibit D. He changes the date stamp by hand, every day. On Exhibit D it is only possible to decipher 'Jan' but he denies that Mr. Dhamani brought him Exhibit D to sign on February 1 or 2.
Mr. Jan Mohamed gave evidence that it takes letters two to three days to reach Kampala.
That was the plaintiffs' case.
Mr. Sardoon Singh, the defendants' Uganda manager, says that he received a 'phone call from Mr. Gore on January 31 that the deceased had died. He asked Mr. Gian Chand Sharma, the office superintendent, to check the position regarding the policy.

On February 4 he opened Exhibit C containing Exhibit B. Exhibit C was date stamped in his presence and impressed with the number "001524" which is the serial number of letters coming in. Then Exhibits B and C were entered in the accounts inward letter register (Exhibit G). Exhibit H is the envelope, but the stamp and post mark have been removed. Mr. Singh cannot say how this happened. Exhibit H was sent to Nairobi and then to Head Office in Bombay. The defendants issued a deposit receipt (Exhibit F) as Exhibit B was received after the risk date. Mr. Singh admitted that the defendants usually accepted cheques in payment of premiums and that their only complaint was that they did not receive Exhibit B by January 28.

Mrs. Amin, who kept the register (Exhibit G) gave evidence that she entered Exhibits B and C on February 4, on the day of receipt, under the serial number "1524" in the normal course of business. Mr. Sharma confirmed her evidence. He also dated Exhibit C "4/2" in red ink. Finally on this part of the case, Paulo Mugenyi collects the mail from the Post Office and hands it to Mr. Singh.

Mr. Gore gave evidence that he canvassed the deceased's policy at the end of 1961. He met Mr. Dhamani at the funeral. After expressing his condolences he commented on the deceased's foresight in providing for his survivors as he was insured with the defendants, whereupon Mr. Dhamani told him that they had been very worried by the deceased's illness, and through oversight a premium wasn't paid.

On February 2, as a result of a phone call, he went to Mr. Sadrudin Jiwa's shop where, in the presence of the deceased's brothers, Mr. Jiwa offered him the premium. Mr. Gore had to decline it as it was too late. Mr. Jiwa asked if the money could be paid through National and Grindlays Bank, the collecting agent, but Mr. Gore's reply was again discouraging. Mr. Gore would, of course, know if the bank had such authority.

I ignore Mr. Gore's evidence that three months after the funeral Mr. Dhamani informed him that he had paid the premium with a cheque from Kampala, posted from Mukoko, following Mr. Gore's reproach that he had previously said that it had not been paid due to an oversight, as this was not put to Mr. Dhamani in cross-examination.

Mr. Vittelbhai Patel gave evidence that he overheard the conversation between Mr. Gore and Mr. Dhamani at the funeral, about the non-payment of the premium. He appeared to be a non-partisan witness.

Mr. Duffus, the Manager of National and Grindlays Bank at Masaka, recalled a visit by Mr. Jiwa and Mr. Abdul Jan Mohamed after the deceased's death, he thought, at which he denied receiving instructions to pay the premium through the bank as collecting agent.

Mr. Jiwa stated that Mr. Gore told him, after the deceased's death, that the bank had made a mistake in not paying the premium. This is some confirmation of the interview with Mr. Gore, although not as to exactly what was said.

Mr. Abdul Jan Mohamed agreed that he had inquired of Mr. Duffus, after the deceased's death, if the bank had paid the premiums on the insurance, and that the answer had been "no". These two gentlemen were apparently interested in the deceased's affairs as fellow members of the Ismaili Community. They could not be expected to be sympathetic to the defendants' case but, as counsel for the defendants puts it, their evidence may contain important "half-truths".

My first impression in reviewing the evidence, which is in acute conflict, is that Mr. Gore's consolatory remark at the funeral has a ring of truth about it and that following his admission Mr. Dhamani engaged in a flurry of activity which included an attempt to pin responsibility for the payment of the premium on National and Grindlays Bank, and resulted in the antedated cheque and letter

(Exhibits B and C). Mr. Gore triggered off this activity. While I realize that business dealings in Asian circles are not always straightforward, why was it necessary for Mr. Dhamani to get a cheque, on a company of which the deceased was a director, in Kampala and post it from Mukoko with a certificate of postage unless it was to create evidence that steps had been taken to renew the premium before the deceased's death? If there was any urgency about the matter, Mr. Dhamani could have ascertained the amount of the premium from the defendants' Kampala Office. The deceased had his own bank account: I have no evidence as to whether he was too ill to inform Mr. Dhamani of the amount of the premium or to sign his name on a cheque form. I am quite satisfied that the defendants did not receive Exhibits B and C before February 4 as their records, kept with bureaucratic efficiency, reveal, plus the evidence of Mr. Sharma and Mrs. Amin, who favourably impressed me. I prefer this evidence to that of Mr. Kagwa, the petrol seller, who was excusably not so businesslike and who might have been under the influence of Mr. Dhamani. At the same time I must admit that I am somewhat disturbed by the disappearance of the stamp and postmark on the envelope. This may have been the work of a zealous philatelist between Nairobi and Bombay, or of someone trying to obliterate evidence apparently in favour of the plaintiffs' case. Despite this, my conclusion remains the same. On the issues of fact I find:

(1) that the cheque was posted after the deceased's death;

(2) that it was received on February 4; and

(3) that the policy was not subsisting on January 31.

In view of these findings of fact, it is not necessary to say much about the legal issues, but in deference to counsels' submissions I will give my views on them shortly.

The general rule is that a debtor must seek out and pay his creditor; and an assured, if he chooses for his own convenience to send money, in any form, through the post, does so at his own risk. In *Pennington v. Crossley & Son* ((1897), 77 L.T. 43) the defendants were in the habit of purchasing goods from the plaintiff and for many years had sent him cheques by post, and the plaintiff had never objected to being paid in this way. It was held that there was nothing from which the Court would infer a request by the plaintiff to the defendants for payment by means of a cheque sent through the post, so as to make the loss of a cheque during transmission by the post fall upon him.

The policy (Exhibit A) is silent as to the mode of payment but I think it is clear, without extrinsic evidence as to custom or usage, from the evidence of Mr. Singh, the retention of Exhibit B by the defendants and the contents of Exhibit G, that payment of premiums by cheques through the post was sanctioned – there was more than mere passive acceptance of money paid in this way, as in *Pennington's* case (*supra*) – and that it would have been sufficient if the deceased or someone on his behalf had posted the cheque in time to reach the defendants in the ordinary course of post before the expiration of the time limited for payment, even although, owing to some accident, it was delayed in the post: see *Tankexpress A/S v. Compagnie Financière Belge des Petroles S.A.* ([1948] 2 All E.R. 939). This mode of payment is, of course, conditioned on the cheque being honoured. There is no evidence before me of delay in the post. The evidence is the other way.

I would answer the fourth issue by saying that it was the defendants' sanctioned usage, if not normal custom in a technical legal sense, to receive payment by cheque.

On the fifth issue there is no evidence that the defendants had made the post office their agent for acceptance of premiums so that the deceased's debt would

have been discharged by posting a letter containing the cheque duly addressed to the defendants.

For the above reasons the suit is dismissed with costs.

Order accordingly.

For the plaintiff:

RE Hunt

RE Hunt, Kampala

For the respondent:

G Singh

Singh & Treon, Kampala